

25STCV11018 25STCV11018

County: los-angeles

Division: Civil Law and Motion

Department: 516

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Case Number: 25STCV11018 Hearing Date: August 19, 2026 Dept: 516

Judge James I. Montgomery

Department 516

Hearing Date: August 19, 2026

Case Name: Aamoth v. O'Neil Digital

Solutions, LLC

Case No.: 25STCV11018 Matter: Motion to Stay of Proceedings

Moving

Party: Defendant O'Neil

Digital Solutions, LLC

Responding Party: None

Tentative

Ruling: Defendant O'Neil Digital

Solutions, LLC's motion to stay of proceedings is granted.

Plaintiff

Jim Aamoth ("Plaintiff") filed this action against O'Neil Digital Solutions, LLC ("Defendant"), a Delaware limited liability company, and Does 1 through 10. Plaintiff's Complaint alleges one cause of action for breach of contract based on the severance agreement the parties entered into in 2023.

On May 27,

2026, the Court denied Defendant's motion to compel arbitration.

On June 30,
2026, Defendant filed a notice of appeal.

Defendant

moves to stay the proceedings pending the resolution of Defendant's appeal.

Plaintiff did not file a timely opposition. The Court exercises its
discretion not to consider Plaintiff's untimely opposition.

Legal Standard

"Trial

courts generally have the inherent power to stay proceedings in the interests
of justice and to promote judicial efficiency." (Freiberg v. City of Mission
Viejo (1995) 33 Cal.App.4th 1484, 1489.) They also have inherent powers to
manage and fashion procedures to control litigation and ensure the orderly
administration of justice. (Cottle v. Superior Court (1992) 3
Cal.App.4th 1367, 1376-79; see also Code Civ. Proc., § 128, subd.
(a)(3) and (a)(5).)

Request for Judicial Notice

Defendant

requests that the Court take judicial notice of two orders granting a stay in:
(1) Weber v. Sherman Oaks Subtenant LLC, Case No. 24VECV02237, (Cal.
Super. Ct. Apr. 24, 2025); and (2) White v. Plummers, Inc., Case No.
25STCV11480 (Cal. Super. Ct. Mar. 5, 2026).

The Court

grants judicial notice of both court records pursuant to Evidence Code section
452, subdivision (d).

Analysis

Defendant

contends that because the FAA applies, the Court must stay the proceedings per Coinbase.
Alternatively, if the FAA does not apply, the Court should exercise its
discretion to stay the proceedings.

The Supreme

Court held that district courts must “stay its proceedings while the interlocutory appeal on the question of arbitrability is ongoing.” (Coinbase, Inc. v. Bielski (2023) 599 U.S. 736, 744.)

Under Code

of Civil Procedure section 1294, “[a]n aggrieved party may appeal from: (a) An order dismissing or denying a petition to compel arbitration. Notwithstanding Section 916, the perfecting of such an appeal shall not automatically stay any proceeding in the trial court during the pending of the appeal.” (Code Civ. Proc., § 1294, subd. (a).) As such, Code of Civil Procedure section 1294 directly overrides the general automatic stay provision in Code of Civil Procedure section 916. However, “[e]ven when the statutes do not call for an automatic stay on appeal, the trial and appellate courts both have the power to issue discretionary stays.” (Daly v. San Bernardino County Bd. of Supervisors (2021) 11 Cal.5th 1030, 1039.)

The

Arbitration Agreement (“Agreement”) filed with Defendant’s motion to compel arbitration specifically lists the Federal Arbitration Act (“FAA”). (Rodriguez v. American Technologies, Inc. (2006) 136 Cal.App.4th 1110, 1122.) The Agreement states:

7. PROCEDURE: Any

arbitration proceeding under this Agreement shall proceed under and be governed by the Federal Arbitration Act (the “FAA”), in conformity with the procedures of the California Arbitration Act (the “Act”), which is found at California Code of Civil Procedure Section 1280 and following sections, including Section 1283.05 and all of the Act’s other mandatory and permissive rights to discovery.

(Motion to Compel Arbitration, Koenig Decl., Ex. A.)

Because the provision expressly identifies the FAA, the FAA applies. Thus, a stay is mandatory pending Defendant’s appeal.

However,

regardless of whether a stay is mandatory in this case under the FAA and Coinbase, the Court finds that a discretionary stay pending appeal is appropriate in the instant case.

Defendant

argues that staying the proceedings pending appeal would promote both justice and judicial economy because a stay would avoid the risk that the Court and parties expend time on a matter that may ultimately be compelled to arbitration. Moreover, the present dispute between the parties concerns which arbitral rules apply. The Court is persuaded by Defendant's argument. If the Court denies the stay and the Court of Appeals later determines that Plaintiff's claims are subject to arbitration, the parties' engagement in litigation would render the appeal meaningless.

Ultimately,

resolution of the pending appeal will most likely determine the proper steps for Plaintiff to prosecute his case.

Thus, the

Court grants Defendant's motion to stay the proceedings pending the resolution of its appeal.

Conclusion

Defendant

O'Neil Digital Solutions, LLC 's motion to stay proceedings is granted. Status Conference re stay is scheduled for February 17, 2027 at 8:30 in Department 516.